The Economics Hidden in the Contract



Presented by Kenneth Gustafson, CFA, Managing Director, Economics, iDiscovery Solutions (iDS) In Partnership with Today's General Counsel

EXECUTIVE SUMMARY

"A contract is not just legal language. It is an economic mechanism." That is the premise Kenneth Gustafson, CFA, Managing Director, Economics at iDiscovery Solutions, builds his analysis on. The provisions define the rules. Market forces determine the financial flow. Disputes arise when the value that actually moves between the parties departs from what each side expected at signing.

Most contract review asks what the language requires. The economic question is different: what cash flows does the clause create, who bears the market or volume risk, and how large is the net difference against what would have happened without the breach? A few sentences of drafting can carry exposure that reaches millions, or billions.

Drawing on more than twenty-five years in finance, markets, commodities, and risk management, Gustafson walks through ten mechanisms worth finding early: indexed pricing, benchmarks, volume commitments, take-or-pay, minimum purchase requirements, force majeure, termination, escalation, earnouts, and contingent consideration. Illustrative examples show how a take-or-pay shortfall and a three-point difference in an annual escalator change the numbers. He then shows how volatile markets are testing contract formulas in real time, and closes with a checklist for contract review and for the day a dispute emerges, along with the data to preserve before it does.

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The Central Premise

A contract allocates economic risk. A contract allocates economic risk. Every clause that sets a price, a volume, a benchmark, an exit, or an excuse decides who carries the cost when something changes. The drafting settles the rules at signing. Markets settle the dollars afterward.

Gustafson describes the contract as a system in five steps. The terms set the baseline obligations. Market inputs, the external prices and macro shifts, move. The parties adapt their operations and demand. Cash flows are realized over time. Risk and value land where the clauses put them. Disputes begin when the value that moves is not the value the parties expected, and even two parties who understood their goals at signing can watch those goals pull apart as events change.

That is why the legal question and the economic question belong together. The legal question: what does the contract require, what event triggered the provision, was performance excused, delayed, or modified, and how should the clause be read? The economic question: what cash flows does the clause create, who bears the market or volume risk, what would cash flows have looked like without the breach, and how large is the net difference? The strongest legal strategy connects the contractual provisions to quantifiable economic outcomes.

His method follows the same order. Start with the terms: the formulas, rules, and reference points. Then the market inputs that could move them. Then operating behavior: are the parties performing as written, and does the contract carry options neither side anticipated? End with realized cash flows, including mark-to-market exposure where a delivery did not happen.

Ten Mechanisms Worth Finding Early

Five govern price and volume: indexed pricing, benchmarks and reference prices, volume commitments, take-or-pay clauses, and minimum purchase requirements. Five govern contingency and duration: force majeure, termination provisions, escalation clauses, earnout formulas, and contingent consideration. Each can allocate millions, or billions.

Indexed pricing: fixed in form, variable in economics. An index ties price to a published reference: WTI, CPI, SOFR, Henry Hub, TTF. The choices that matter are the index, the geography, the lag, and the averaging period. An index passes market volatility between buyer and seller without a word of risk language, and it can be the wrong index for the deal. Henry Hub is a major index, to achieve a regional gas price add basis.

Benchmarks: the central fulcrum. Gustafson's first step on a matter is to pull the index specification: who publishes it, how it is constructed, what it captures, and what it leaves out, such as transport, taxes, and quality differentials. Then, what if the index is discontinued, which he says happens all the time? Arbitration, or a negotiated replacement. A benchmark can be published, verified, and still be wrong for the transaction.

A formula, three markets. An example feedstock contract is priced at $4.00 per MMBtu plus 80 percent of the amount by which the benchmark exceeds a $3.00 base. At a $2.00 benchmark, the price is $3.20. At $3.00, it is $4.00. At $5.00, it is $5.60. The formula is simple. The cash flows are not.

One contract, three markets. The language stays identical. The economic incidence changes dramatically. In a down market, minimums, floors, and take-or-pay liabilities dominate. In an up market, caps, escalators, margin shares, and earnout payouts do.

Take-or-pay: demand volatility becomes a fixed cash liability. The buyer commits to pay for minimum quantities whether or not it takes them. Gustafson's illustrative example: an annual minimum of 10,000 units, 7,000 taken, a shortfall of 3,000 units, a contract price of $50 against a market price of $40. Gross shortfall exposure: $150,000. If the seller resells those units at the market price, net mark-to-market exposure: $30,000. Disputes turn on the resale. Did the seller get the market price for those units, or dump them, and was the sale arm's length and fair?

Volume commitments and minimum purchases. Volume is an economic term. Fixed minimums move demand risk to the buyer. Flexibility bands loosen it. Make-up rights decide whether a shortfall is a permanent loss or a timing issue.

Force majeure and termination. Force majeure is an excuse mechanism, and it needs a counterfactual: what would have happened had it not been declared? The baseline runs from the actual event, to the contractual response, to the counterfactual, to the incremental loss, then tests mitigation. Termination provisions behave as embedded options, sometimes asymmetric, like a call or a put. Gustafson points to LNG contracts in today's market that let a seller cancel for a set payment and redirect cargoes to higher-priced markets.

Escalation. Escalators pick an index such as CPI, PPI, or PCE, and the pick matters. Gustafson's hypothetical: a 3 percent annual escalator, the kind a core CPI might produce, against a 6 percent escalator drawn from headline CPI. Starting at $100, the first reaches $130.48 in year ten. The second reaches $168.90, a gap of 29.4 percent. A three point difference compounds into almost a third of the price.

Earnouts and contingent consideration. An earnout turns uncertain future results into a contingent purchase price. The formula is an economic valuation model embedded in a contract, and the metric decides everything. Before debating payout numbers, counsel must define what the metric measures in practice. A cap is a maximum payout, not a present value. Gustafson models these payments with probability-weighted cash flows or Monte Carlo simulation, or treats them as real options.

Clauses that behave like options. Termination rights, force majeure, and earnouts act like financial options without using option terminology: an underlying variable, a contingent trigger, a payoff function, a present value.

Markets Are Testing The Formulas

Gustafson describes a shift from a relatively low-inflation, stable energy environment to a run of shocks: COVID, the war in Ukraine, and now the Iran conflict, with higher interest rates compounding the effect. Each stress-tests contract formulas and reveals financial transfers hidden in the drafting.

The Strait of Hormuz. Freight and insurance surcharges alter delivered costs. Force majeure invocations halt schedules. A voyage that took 15 or 20 days can take 30 or 40. A party whose product is stuck must buy elsewhere and ask whether it has recourse against a seller who declared force majeure.

European gas. Spikes in the TTF benchmark create severe margin calls for utilities. Some U.S. natural gas producers even reference TTF in their pricing, which pushes the exposure back upstream.

A data center. A hyperscaler with a multi-billion-dollar commitment to build a data center in New Mexico borrowed to finance it and bought extremely expensive chips, but could not get natural gas delivered, because a pipeline was held up by permitting and other delays. Force majeure was declared and debt repayment schedules were pushed back, which fed into a stock market hiccup. One triggering event snowballed.

Interest rates. Higher rates reduce the present value of any payment due years from now. A contract with a five-year deferred payment stream loses about 20 percent of its present value when discount rates move from 2 percent to 7 percent.

The Checklist, & The Data

Gustafson's checklist for a general counsel has two parts.

At contract review and drafting. Identify price formulas and benchmark index references. Map volume obligations and flexibility tolerance bands. Define contingency triggers with mathematical precision. Stress-test contract pricing across extreme market scenarios.

When a dispute emerges. Reconstruct full contract cash flows and historical mechanics. Audit and validate benchmark publications and inputs. Model actual against counterfactual performance. Quantify mitigation, substitution, and alternative actions.

A Practical Stress Test for Major Commercial Contracts, puts it in four steps: audit index references for liquidity, fallback terms, and geographic suitability. Map volume liabilities under take-or-pay and minimum purchase clauses. Model high and low scenarios against plus or minus probablistic commodity price swings and inflation. Review exit and force majeure by evaluating termination option values and counterfactual loss baselines.

Run the scenarios before the market does. Oil can go from sixty dollars to 120. The question is how that lands on a given contract. Audit the benchmarks consistently, too. In Gustafson's experience, a contract administration team can apply the wrong benchmark for a year and a half, and that can change the terms of the trade.

Gustafson names six categories of data to preserve.

Executed agreements. Master contracts, amendments, schedules, and side letters.

Operating records. Invoices, purchase orders, delivery logs, and settlement statements.

Valuation and hedging. Hedging records, trading logs, and risk models.

Market feeds. Benchmark publications, index pricing feeds, and historical quotes.

Planning documents. Internal forecasts, budgets, capacity plans, and demand models.

Administration communications. Internal emails reflecting contract interpretation.

The economic story is distributed across legal agreements and operational enterprise data.

Two Cautions

Read amendments closely: a routine change to a bank reference or credit security can carry an economic provision that cuts the other way later.

Reconstruct obscure prices: where benchmark prices are thin, work with sales and marketing to rebuild a time series, including days the company did not trade.

The iDS approach, as Gustafson puts it, is to read the clauses without bias and call balls and strikes: isolate the formulas and triggers, collect the contract data, gather and retain market data including forward curves, and build transparent cash-flow models. Every model is wrong by definition, he notes. The discipline is adjusting it over time and testing scenarios with your teams.

Key Takeaways

A contract allocates economic risk. Price clauses allocate commodity and inflation risk. Volume clauses allocate utilization risk. Benchmarks allocate reference-market risk. Force majeure and termination allocate event and exit risk. Earnouts allocate future performance risk.

The legal question and the economic question belong together.

A benchmark can be published, verified, and still wrong for the deal. Pull the specifications, know who builds the index, and audit it before relying on it.

Clauses behave like options. Termination rights, force majeure, and earnouts carry value that can be modeled.

The economic story lives in the agreements and in the operating data. Preserve both.

Run the scenarios before the market runs them for you.

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Who?

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What?

The Economics Hidden in the Contract

When?

Available On-Demand

Summary:

- Identify hidden contract risks.
- Evaluate pricing and volume terms.
- Assess market volatility.
- Calculate potential losses.
- Preserve data and test scenarios.

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